

Underwriting Assumptions

Reference Guide

01 | Product Type Decision Matrix

Density	Recommended Product	Building Type	Model
7 u/a	BTR — Active Adult Cottages	Detached SFR	BTR Model
8 u/a	BTR — Conventional (SFR or TH)	Detached SFR or Townhome	BTR Model
9 u/a	BTR — Townhomes	Attached Townhome	BTR Model
25 u/a	Conventional or AA Garden	3-Story Walk-Up (AA: enclosed corridors + added cost)	Conv. or AA Model
35 u/a	Conventional or AA Mid-Rise	4-Story Surface-Parked	Conv. or AA Model
55 u/a	4-Story Wrap (deck parking)	—	—
85 u/a	5-Story Wrap (deck parking)	—	—
Mixed-density	Blended product	Phase by zone	Multiple models
25 u/a	3-Story Attainable	3-Story Walk-Up	Conv. or AA Model

02 | Density & Unit Mix

Conventional Multifamily

Building Type	Density	Unit Type	Mix %	Avg SF	Parking
3-Story Walk-Up	25 u/a	1BR / 1BA	60%	800 SF	1.4 / unit
—	—	2BR / 2BA	40%	1,050 SF	—
4-Story Surface-Parked	35 u/a	1BR / 1BA	60%	800 SF	1.4 / unit
—	—	2BR / 2BA	40%	1,050 SF	—
4-Story Wrap (deck)	55 u/a	60/40 split	Same as 4-story surface	—	1.4 / unit

5-Story Wrap (deck)	85 u/a	60/40 split	Same as 5-story surface	—	1.4 / unit
---------------------	--------	-------------	-------------------------	---	------------

Active Adult (AA) — Flats

Building Type	Density	Unit Type	Mix %	Avg SF	Parking
3-Story Interior Corridors (conditioned)	25 u/a	1BR / 1BA	60%	800 SF	1.25 / unit
—	—	2BR / 2BA	40%	1,100 SF	1.25 / unit
4-Story Surface-Parked	35 u/a	1BR / 1BA	60%	800 SF	1.25 / unit
—	—	2BR / 2BA	40%	1,100 SF	—
4 & 5-Story Wrap	Same as above	Same as above	—	—	1.25 / unit

03 | Build-to-Rent (BTR)

Conventional BTR — Townhome & SFR Detached

Product	Density	Unit Type	Mix %	Avg SF	Garage	Lot Width
BTR Townhome (3-story)	8 u/a	4BR / 3.5BA (\$107 psf vertical)	35%	1,996 SF	2-car	36'
—	—	3BR / 3.5BA (\$120 psf vertical)	65%	1,659 SF	2-car	36'
BTR SFR Detached	8 u/a	3BR / 2BA (\$191 psf vertical)	30%	2,000 SF	2-car	40'
—	—	4BR / 3.5BA (\$95 psf vertical)	70%	2,600 SF	2-car	40'

Active Adult Cottages — Detached

Product	Density	Unit Type	Mix %	Avg SF	Garage	Lot Width
AA Cottages (Detached)	6 u/a	1BR / 1.5BA	30%	1,000 SF	2-car	40'
—	—	2BR / 2BA	70%	1,400 SF	2-car	40'

04 | Acquisitions Model

Input	Source / Instruction
T-12 Rent Roll	Provided by deal team — upload to model inputs tab
T-12 Operating Statement	Provided by deal team — normalize for non-recurring items
In-Place vs. Market Rent Delta	Analyst / Yardi data — pull market comps and calculate loss-to-lease
CapEx / Value-Add Budget	Provided by deal team or estimated per unit from deal memo
Exit Cap Rate	Analyst default: [TBD] — confirm with deal team; create MF cap rate chart using CBRE Cap Rate Survey for major SE markets
Hold Period	Analyst default: 5 years — confirm with deal team

Rent growth – 3.00% / year

Other income growth – 3.00% / year

Expense growth – 2.75% / year

Rental losses (vacancy, LTL, concessions, bad debt)

Stabilized Vacancy – 5.00%

LTL – should be calculated based on average in-place leases vs underwritten market rent

Concession – should be based on what stabilized market comps are offering

Bad debt – 50 bps of gross potential rent